

**Time:** 5 minutes**Outcome:** Distinguish who initiates an information-revealing action in an asymmetric-information market.**Difficulty:** ●●○ Intermediate

Signaling & Screening

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THE CORE IDEA

Markets use actions and information-gathering mechanisms to reduce asymmetric information. Signaling begins with the informed party, who sends credible information. Screening begins with the uninformed party, who requests evidence or designs choices that help reveal type.

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HOW TO RECOGNIZE IT

- Signals come from the informed side: credentials, warranties, certifications, or reputation investment.
- Screens come from the uninformed side: tests, interviews, credit checks, or medical exams.
- A menu of contracts can screen when choices reveal otherwise hidden information.
- Ask who initiated the information-revealing action, not merely what information appeared.

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WATCH OUT

Do not classify the mechanism from the evidence alone. The same fact can be disclosed voluntarily as a signal or requested by the uninformed side as a screen.

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WORKED EXAMPLE: ONE LABOR MARKET, TWO DIRECTIONS

DIAGNOSE

- informed party
- uninformed party
- signal
- screen
- who initiates

A job applicant knows more about personal skill than an employer. The applicant earns a certification to demonstrate ability: the informed applicant initiates the action, so it is signaling. The employer then requires every applicant to complete a skills test: the uninformed employer initiates the information request, so it is screening. Direction of action, not the labor-market setting, distinguishes the mechanisms.

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CHECK YOURSELF

A lender requires borrowers to provide income documentation. Is the lender signaling or screening?

**READY?**

Return to the game and master this concept.